

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate
Transmission System

Docket No. RM26-4-000

COMMENTS OF EDF POWER SOLUTIONS, INC.

Pursuant to the Federal Energy Regulatory Commission's (Commission) October 27, 2025 Notice Inviting Comments, EDF power solutions, Inc. (EDF)¹ submits these comments in support of the Department of Energy's (DOE) Advanced Notice of Proposed Rulemaking (ANOPR) requesting that FERC establish standardized interconnection procedures and agreements for large loads seeking to interconnect to the transmission system.²

I. SUMMARY OF COMMENTS

Standardizing the interconnection of new large loads and hybrid facilities is a crucial and welcome step that will help meet the challenges of serving new large loads across the country. New large loads and hybrid facility structures are not one-size-fits-all. They can take many forms, including structures with operational flexibility that can provide a host of benefits to the transmission system, and some that have less operational flexibility and thereby place more demands on the transmission system. EDF supports the DOE Secretary's request for the

¹ EDF develops, builds, operates, and manages renewable energy projects throughout North America. As a market-leading independent power producer and service provider for over 35 years, EDF delivers grid-scale power, including wind (onshore and offshore), solar photovoltaic, and storage projects; distribution-scale power, including solar and storage, and asset optimization. EDF also provides technical, operational, and commercial expertise to maximize performance of generating projects. EDF is an active participant in interconnection-related policy discussions and rulemaking proceedings, including generation and load interconnection reform efforts.

² Letter from DOE Secretary Wright to the Federal Energy Regulatory Commission, dated Oct. 23, 2025, attaching the Advanced Notice of Proposed Rulemaking, *Ensuring Timely and Orderly Interconnection of Large Loads*.

Commission to establish a uniform, open access framework for large load and hybrid facilities to interconnect to the transmission system that does not infringe on the jurisdiction of the relevant state regulatory authorities.

To maximize the benefits of this opportunity, the Commission should adopt a flexible, performance-based framework that (1) recognizes the diversity within the large load industries (*e.g.*, AI, crypto mining, hydrogen, e-fuels, and carbon capture, utilization and storage (CCUS)); (2) encourages “grid-light” development structures, such as hybrid facilities that put minimal stress on the grid, and avoids inadvertently penalizing innovative co-located load configuration models; and (3) addresses much needed reforms to the Commission’s Public Utility Holding Company Act (PUHCA) regulations³ to allow independent power producers, such as exempt wholesale generators (EWGs), to make direct sales to large loads (in states where it is allowed) without losing PUHCA exemptions for upstream owners.

While these PUHCA and EWG challenges have not received much attention in the data center dialog thus far, EDF believes it is an important consideration that, once it is addressed, will reduce impediments to powering large loads and ensuring the reliability of the bulk power system. Independent power producers (IPPs) are experts in managing the challenges of running power plants and are better suited than the data center companies themselves to own and operate the co-located generation that supplies power to the data centers. However, regulatory limitations on EWGs prevent IPPs from making direct sales to hybrid facility load. This can be a significant impediment to data center development, by causing delay, increasing costs unnecessarily, and sometimes even pressing large load developers to seek other locations, which can cause localities to lose investment opportunities. PUHCA reforms would eliminate

³ 18 C.F.R. Part 366.

the need for IPPs to “sleeve” power sales through the incumbent utility (or other authorized retail electric provider) in the hybrid facility context in states that otherwise allow direct sales to large loads. States that incentivize bilateral transactions between IPPs and large loads will see greater industrial development in their state, which could put downward pressure on ratepayer energy costs.

Regarding the principles for reform outlined in the ANOPR, a key theme in EDF’s comments is that not all large loads that co-locate with existing or new generators should be required to undergo the same interconnection and reliability planning processes. Hybrid facilities (with co-location of generation and large loads) can help streamline the interconnection process because they can reduce the need for expensive grid upgrades and minimize delays in bringing new generation and load online. A bifurcated or tiered review process should be implemented, allowing low-impact loads that are inherently less likely to cause significant transmission system upgrades to be studied and brought online more quickly than higher-impact loads.

For example, some large loads can locate in areas with surplus energy – generation pockets where frequently-curtailed energy is “trapped” behind constrained transmission. In effect, this load could delay the need for flowrate capacity expansion and reduce congestion cost in the case of a Regional Transmission Operator (RTO) Locational Marginal Price (LMP) market structure. Locating large loads in these generation pockets will prevent curtailed energy from being wasted, reduce the frequency of the transmission constraints, and may allow the load to be integrated faster with less impact on the bulk electric system. Conversely, proposals for large loads located in more congested areas of the grid may indeed require more extensive analysis and consequently take longer to bring online. However, this distinction should not

preclude the rapid study and integration of well-situated load proposals that offer immediate grid benefits.

Another critical factor that varies significantly from one large load to another is operational flexibility. Certain industrial processes or data center operations can be structured to curtail energy use on short notice in response to grid conditions or price signals. Due to this flexibility, large curtailable loads can provide net benefits to the grid by reducing congestion, delaying need for transmission, and providing demand response capabilities to the system. In contrast, some co-locating loads are highly dependent on uninterruptible service (“five-nines” reliability⁴) and thus place significantly more demand on the grid. Loads that lack operational flexibility can lead to grid instability, unexpected power shortages and higher costs for other consumers. However, inflexible large loads should not dictate the rules that apply to more operationally flexible co-location arrangements that can be studied more easily and potentially produce benefits for grid operations in a shorter timeframe. Rather, the rules governing large co-located loads should be balanced with the ability for grid operators to use the flexibility of that load to operate the system more reliably. Further, the more flexible the load, the more easily expedited its interconnection should be.

⁴ This is a reference to high availability of services, such as when a service is available for 99.999% of the time, or around 5 minutes of downtime per year. *See* <https://www.techtarget.com/searchnetworking/feature/The-Holy-Grail-of-five-nines-reliability>.

II. COMMENTS

A. **PUHCA Reform: To Facilitate Direct Power Sales to Large Loads, Where Such Direct Power Sales are Permitted by the Relevant State, FERC Should Provide Blanket PUHCA Exemptions for IPPs that Sell Directly to Hybrid Facility Loads.**

As detailed in the ANOPR, the unprecedented growth in data centers necessitates Commission action to remove regulatory impediments to data center development. One such impediment that is related to large load interconnections is the inability of IPPs that are also EWGs to own and operate the generation component of hybrid facilities and make direct sales to the load.

In EDF's experience, large hybrid facility loads do not pursue structural arrangements that require them to own or operate large-scale co-located generation. This is due in part to the significant regulatory burdens and reliability requirements inherent in operating generation assets, a specialized function that demands distinct expertise in managing the complex challenges of owning and operating power plants. That role is better suited to IPPs, whose sole focus is owning and operating generation facilities. However, regulatory limitations on EWGs prevent IPPs from making direct sales to hybrid facility load even if the relevant state jurisdiction would allow such direct sales. This can be a significant impediment to data center development, causing unnecessary delay and increased costs. PUHCA reforms that allow IPPs to make direct sales to large loads without losing PUHCA exemptions for upstream owners/investors would facilitate the interconnection and service of new large loads on the system.

1. “Sleeve” Transactions Serve Only to Maintain PUHCA Exemptions for Upstream Owners and are an Impediment to Power Sale Arrangements Between IPPs and Large Loads.

Currently, EWGs are prohibited from making sales directly to end users (absent a company-specific waiver).⁵ As result, for IPPs that wish to maintain their EWG status, they must “sleeve” power sales through retail electric providers (REPs) who can then sell directly to large loads. This “sleeve” requirement is a significant practical impediment to power sale arrangements between IPPs and large loads, especially in areas where REPs are small or in areas with cooperative or municipal service areas.⁶

PUHCA exemptions are important for those IPPs whose upstream owners are not subject to public utility holding company regulation when they own only EWGs, Qualifying Facilities (QFs) or Foreign Utility Companies (FUCOs).⁷ By allowing upstream owners/investors of generation assets to avoid federal holding company regulations, the exemptions facilitate investment in new generation projects. Project financing transactions often specifically require project companies to provide legal opinions that investors and lenders and their affiliates will not be subject to PUHCA’s access to books and records and accounting requirements as a result of their investment in the project company.⁸ The absence of this legal

⁵ Under Section 366.1, an exempt wholesale generator is “any person engaged directly, or indirectly through one or more affiliates as defined in this subchapter, and exclusively in the business of owning or operating, or both owning and operating, all or part of one or more eligible facilities and selling electric energy at wholesale. . . .”

⁶ For example, in some areas, a Power Purchase Agreement (PPA) between an EWG and a retail electric provider who in turn sells the power to a large load could be a transaction that is such a large percentage of the REP’s annual sales that the default risk would be too great to undertake the transaction.

⁷ 18 C.F.R. § 366.3.

⁸ Legal opinions are routinely required to confirm that lenders or equity investors and their affiliates “will not be subject to or not exempt from, regulation as an electric utility company, a public utility company, and holding company under PUHCA solely as a result of their investment in an EWG project company.”

assurance can jeopardize project financing, as investors and lenders are typically unwilling to accept the regulatory obligations associated with public utility holding company status. Currently, the most common way to provide this assurance is for U.S. project companies to adhere strictly to EWG or QF certification requirements.

The sleeve requirement for the generation component of a hybrid facility is an inefficient transaction structure and increases costs – by unnecessarily imposing an REP “middleman” requirement in every transaction. EDF’s experience has been that REPs do not undertake what are sometimes very large transactions without significant compensation. Thus, the price of energy supplied to the hybrid load is artificially inflated – due only to the regulatory requirements imposed on EWGs to maintain exemptions to PUHCA requirements for upstream owners. In areas where direct sales to large loads are allowed, a blanket exemption from the EWG direct sale limitation would be helpful to facilitate hybrid facility interconnections.

States that incentivize direct bilateral transactions between the generator and load in these hybrid configurations, with two distinct owners and no middleman, will see greater industrial development in their state, which will in turn put downward pressure on ratepayer energy costs.

2. The Commission Has Legal Authority to Grant Blanket Exemptions.

Under Section 366.3(b)(1)(i) of the Commission’s regulations, the Commission is authorized to grant exemptions from PUHCA’s requirements, specifically Sections 366.2, 366.21, 366.22, and 366.23, if the Commission “finds that the books, accounts, memoranda, and other records of any person are not relevant to the jurisdictional rates of a public utility or

natural gas company.”⁹ The Commission’s current regulations provide for several types of exemptions and waivers that are automatic,¹⁰ require the filing of a Form 65-A¹¹ or 65-B¹² or upon individual application for exemption by way of a petition for declaratory order.¹³ To date, the Commission has required entities that meet the definition of a “holding company” to either qualify for one of the recognized exemptions or waivers or to file a petition for declaratory order to obtain an individual Commission determination that their books and records are not relevant to jurisdictional rates to receive an exemption.¹⁴

The Commission has regularly granted exemptions from PUHCA’s requirements to applicants filing a petition for declaratory order where the project company meets the Commission’s criteria for a non-traditional utility under Section 366.3(b)(2)(ii).¹⁵ For example, in *NextEra Energy Resources LLC*, the project company, a behind-the-meter solar facility, was located in an area that permitted it to make retail sales to large customers. Although the project company represented that it may make some wholesale sales, it did not qualify for EWG status because it made retail sales, and it was too large to be a QF. In response to the project

⁹ *NextEra Energy Resources, LLC*, 189 FERC ¶ 61,082 (2024).

¹⁰ Automatic exemption for persons that are holding companies solely with respect to QFs, EWGs, or FUCOs (18 C.F.R. § 366.3(a)).

¹¹ *E.g.*, persons that qualify for exemptions under § 366.3(b)(2), such as passive investors, and jurisdictional utilities with no captive customers and do not own transmission.

¹² *E.g.*, Single state holding company waiver, § 366.3(c)(1).

¹³ 18 C.F.R. § 366.3(b) and (d).

¹⁴ *NextEra Energy Resources, LLC*, 189 FERC ¶ 61,082, at P 37 (2024); *SER Capital Partners, LLC*, 188 FERC ¶ 61,023, at P 22 (2024); *I Squared Capital Advisors (US) LLC, et al.*, 188 FERC ¶ 61,113, at P 23 (2024); *Summit Ridge Energy, LLC, et al.*, 185 FERC ¶ 61,187, at P 17 (2023); *Scale Microgrid Solutions, LLC*, 188 FERC ¶ 61,164, at 27 (2024); *Agilitas Energy, Inc., et al.*, 184 FERC ¶ 61,100, at P 17 (2023); *Ameresco, Inc.*, 181 FERC ¶ 61,119, at P 23 (2022).

¹⁵ *NextEra Energy Resources, LLC*, 189 FERC ¶ 61,082, at P 34 (2024); *SER Capital Partners, LLC*, 188 FERC ¶ 61,023, at P 21 (2024); *I Squared Capital Advisors (US) LLC, et al.*, 188 FERC ¶ 61,113, at P 22 (2024); *Summit Ridge Energy, LLC, et al.*, 185 FERC ¶ 61,187, at P 16 (2023); *Agilitas Energy, Inc., et al.*, 184 FERC ¶ 61,100, at P 16 (2023); *Ameresco, Inc.*, 181 FERC ¶ 61,119, at P 22 (2022).

company's petition for declaratory order, the Commission granted an exemption for potential investors in the project company because the project company met the criteria for a non-traditional utility, *i.e.*, it did not have captive customers, own Commission-jurisdictional transmission facilities (other than limited and discrete generator interconnection facilities), or provide Commission-jurisdictional transmission services.¹⁶

It would be burdensome for every IPP that is currently an EWG, or future IPPs that would otherwise qualify for EWG status, to have to file a petition for declaratory order to maintain an exemption from PUHCA's requirements. The time for the Commission to act on an individual petition for declaratory order has recently ranged from 82 days to nearly 6 months¹⁷ and with the rapid expansion of large hybrid facilities expected to come online in the coming decade, the number of these filings is likely to increase dramatically. The Commission should instead consider codifying the *NextEra* case into an automatic exemption for project companies that meet the same requirements.

There are several options that the Commission could adopt into a new rule that would preserve a project company's PUHCA exemptions and not require the filing of individual petitions for declaratory order:

¹⁶ *NextEra Energy Resources, LLC*, 189 FERC at PP 33-34 ("Based on the information and representations in the Petition, we find that any of the Investors that currently qualifies for an exemption or possesses waiver from PUHCA accounting, record-retention, and reporting requirements would continue to be exempt from the requirements of Sections 366.2, 366.21, 366.22, and 366.23 of the Commission's regulations if it were invest in the Project Company.").

¹⁷ *NextEra Energy Resources, LLC*, 189 FERC ¶ 61,082 (2024) (166 days); *I Squared Capital Advisors (US) LLC, et al.*, 188 FERC ¶ 61,113 (2024) (172 days); *SER Capital Partners, LLC*, 188 FERC ¶ 61,023 (2024) (124 days); *Summit Ridge Energy, LLC, et al.*, 185 FERC ¶ 61,187 (2023) (82 days); *Scale Microgrid Solutions, LLC*, 188 FERC ¶ 61,164 (2024) (93 days); *The Carlyle Group Inc., et al.*, 185 FERC ¶ 61,117 (2023) (114 days); *Agilatas Energy, Inc., et al.*, 184 FERC ¶ 61,100 (2023) (103 days); *Generate Capital, PBC*, 182 FERC ¶ 61,098 (2023) (114 days); *Ameresco, Inc.*, 181 FERC ¶ 61,119 (2022) (135 days).

- Amend 366.3(a) to include an automatic exemption for IPPs that make direct sales to large loads, *i.e.*, a fourth category of automatic exemption for QFs, EWGs, FUCOs and IPPs that sell directly to large loads;
- Find that direct sales to large loads are an allowable incidental activity for EWGs that is consistent with the exclusivity requirement, given that the IPPs otherwise meet the nontraditional utility exemption requirements (no captive customers, no transmission ownership other than interconnection facilities); or
- In lieu of project-by project petitions for declaratory orders, include in the EWG self-certification procedures an option to request an exemption for direct sales to large loads that is automatic unless rejected by the Commission within the 60-day notice period provided in 366.7.

For companies that would otherwise qualify for EWG status except for any direct sales to large loads, the Commission should find that pursuant to Section 366.3(b)(1), the books, accounts, memoranda, and other records of holding companies in the project company would not be relevant to any Commission-jurisdictional rates if the project company were to engage in retail sales because it would still not have captive customers, own Commission-jurisdictional transmission facilities (other than limited and discrete generator interconnection facilities), nor provide Commission-jurisdictional transmission services.

Eliminating the need for each project company to submit a petition for declaratory order will remove a significant regulatory impediment for IPPs to participate in hybrid large load interconnections. Large loads that can bring their own IPP-sourced generation to a proposed new interconnection can help relieve reliability and resource adequacy constraints. IPPs will have incentives to compete against retail price signals for lower prices and more efficient capital allocation. Removing regulatory impediments would eliminate the sleeve requirement in states where direct sales are otherwise allowed. Thus, the price of energy supplied to the hybrid load would decrease because IPPs would be better able to compete for the generation component of hybrid facility interconnections.

3. Granting a Blanket Exemption Does Not Infringe on State Jurisdiction.

A blanket exemption from PUHCA's requirements would not determine whether a retail sale is allowed at the state level. It could only be used in areas where the applicable state regulatory authority authorizes sales by IPPs directly to large loads, such as states with retail access or states that allow large customers to purchase directly from third-party owned generation resources whether behind or in front of the meter.

To be clear, EDF is not asking the Commission to determine what retail sales are permitted. Only where such direct sales to large load are permitted in the relevant state or local jurisdiction, the requested blanket waiver would allow IPPs that are otherwise EWGs to meet the non-traditional utility criteria to provide upstream owners a blanket waiver of PUHCA's requirements.

B. Comments on the ANOPR's Fourteen Principles for Reform

Principle 1: Avoid Affecting State Jurisdiction.

EDF agrees that the proposed standardized interconnection procedures and agreements should be applicable only to those large loads and hybrid loads that are seeking to interconnect to the transmission system, as outlined in the ANOPR. The Commission's jurisdiction over Large Generator Interconnection Procedures (LGIP) does not infringe on state authority for the retail sale of electricity or the siting and permitting of generation facilities. Likewise, by asserting jurisdiction over large load interconnections, the Commission would not be impinging on state authority over retail electricity sales or the siting and permitting of large load facilities. Because large load and hybrid facility interconnections could have a significant impact on the regional and interregional transmission grid covering multiple states, the interconnection procedures should be developed pursuant to federal jurisdiction.

Principle 2: Reforms Should Be Applicable to New Loads Greater than 20 MW.

The proposed 20 MW threshold for the new load interconnection reforms is consistent with the application of the Commission's LGIP. It is an appropriate threshold for new large load interconnections because it is likely to include the bulk of new large load interconnections.

Principle 3: Load and Hybrid Facilities Should be Studied Together with Generating Facilities.

EDF agrees that transmission providers should study co-located load and generation together, where practicable, to minimize upgrades and shorten time-to-energization. Joint studies of hybrid facilities in particular can minimize the need for costly network upgrades because the impact of the new load can be offset by the addition of new generation. Joint studies can also shorten the time to energization for both the co-located generation and load because of reduced impacts on the grid.

In addition, interconnection studies should better utilize storage assets in interconnection requests. Currently, interconnection studies do not accurately model real time operating characteristics of storage resources, which limits opportunities for storage resources to be deployed to serve large load needs. Energy storage can be built quickly and are easily co-located with data center load. Storage can act instantaneously to counter a large load customer tripping offline and allows efficient use of the transmission system. Meanwhile, transmission upgrades often take many years to build and thus may not meet load needs in a timely manner.

Principle 4: Load and Hybrid Facilities Should Be Subject to Standardized Study Deposits, Readiness Requirements and Withdrawal Penalties.

Load interconnection procedures should incorporate the same procedural requirements that govern generator interconnections in the LGIP. Standardized provisions with deadlines, staged readiness deposits, and withdrawal penalties help deter speculative projects and provide

transmission providers with the necessary and timely information to enable more accurate study of a new large load's impact on the transmission system. Transmission providers should establish a load interconnection queue in which load and generation can be studied in an efficient, orderly, and transparent fashion. Through such transmission provider load interconnection queues, deadlines, readiness requirements, and withdrawal penalties can all be implemented on a nondiscriminatory basis. The LGIP's existing study deposits, readiness requirements, and withdrawal penalties can be emulated and adapted for this purpose – keeping the regional differences in place.

In addition, standardized load interconnection agreements, study agreements, and facility construction agreements are necessary to ensure that the terms and conditions of load interconnection service are just and reasonable and not unduly discriminatory. The current regional generator interconnection *pro formas* can be adapted for this purpose.

Principle 5: Hybrid Facilities Should Be Studied Based on the Amount of Injection or Withdrawal Rights Requested.

The Commission should ensure that study processes reflect the unique load withdrawal and generation injection rights requested by hybrid facility developers. Certain co-location structures place far less stress on the grid than network connected loads that regularly and materially use the grid for reliability. Accordingly, if co-located generation and load are studied together, as EDF supports in response to Principle 3 above, study processes should recognize, and take advantage of, any flexible withdrawal and injection rights requests from co-located large loads. The Commission should avoid one-size-fits-all large load study processes that sweep grid-light or flexible co-located loads into a single network load classification.

Loads with considerable operating flexibility, such as crypto mining load, should not be treated the same as AI data centers that need “five-nines” power reliability. Some industries

are able to co-locate load behind the generator's meter and do not require grid firming beyond their auxiliary power needs. Some have significant operational flexibility and can even offer services back to the grid that can help with grid operations, such as demand response service. For example, EDF's Las Majadas project in Texas has a flexible behind-the-meter load structure where the load can curtail when Las Majadas generation capacity is needed in the ERCOT market, which results in an increase in reliability and lowering of market prices in ERCOT. In contrast, some data centers typically require 24/7 firm service and do not provide the same flexibility for the co-located generation resource to inject into the grid. The Commission should ensure that any study processes that are developed have flexibility to accommodate diverse structures while ensuring that all pay their fair share of grid costs.

As was developed in ERCOT, the Commission should develop an expedited study process for controllable load and generation to interconnect and economically dispatch in the wholesale market, or to participate as voluntary load shed resources. These flexible resources present a minimal impact on the transmission system and can even offer system-wide reliability benefits while maximizing the efficient use of otherwise underutilized energy resources. Some large loads can locate in areas with surplus energy – generation pockets where frequently-curtailed energy is “trapped” behind constrained transmission. Locating large loads in these generation pockets will prevent curtailed energy from being wasted, reduce the frequency of the transmission constraints, and may allow the load to be integrated faster with less impact on the bulk electric system. In effect, this load could delay the need for flowrate capacity expansion and reduce congestion cost in the case of an RTO LMP market structure. Due to their flexibility, large curtailable loads can provide cost-saving benefits to the grid by reducing

congestion, delaying the need for transmission, and providing demand response services when needed. Study processes should be developed that look for these potential benefits.

Specifically, for flexible hybrid loads arrangements that are controllable and dispatchable, the Commission should:

- Implement an expedited interconnection study process for hybrid structures that accept curtailment and dispatch instructions;
- Require that the size of the co-located load be a certain percentage of the generation co-located at the interconnection point (e.g., Load can be up to 70% of the Main Power Transformer); and
- Implement ERCOT-type settlement rules during production period so that large loads and generation resources that are co-located behind a shared Point of Interconnection (POI) are netted together.

In addition, the Commission should recognize the importance of allowing co-location to evolve with RTO design. The Commission should ensure that flexibility is maintained as market designs evolve, including recognition of load response, load netting, and demand-side dispatch.

Principle 6: Hybrid Interconnections Should Be Required to Install Protection Facilities to Prevent Unauthorized Injections or Withdrawals that Exceed the Respective Rights.

In any standardized load interconnection procedures, the Commission should require hybrid interconnections to install the system protection facilities necessary to prevent unauthorized injections or withdrawals that exceed the respective rights available to the interconnection customer. Specifically, the Commission should direct transmission providers to develop hybrid interconnection procedures, implementing a rights-based design that includes minimum telemetry/protection standards and operating schemes that prevent unauthorized injections/withdrawals beyond granted rights. The Commission should ensure that the operational schemes and injection/withdrawal rights are strictly enforced.

Principle 7: Interconnection Studies of Large Loads that Agree to be Curtailable and Hybrid Facilities that Agree to be Curtailable and Dispatchable Should be Expedited.

The Commission should fast-track curtailable loads and curtailable/dispatchable hybrid facilities with firm expedited timelines. Given that curtailable load and dispatchable generation at hybrid facilities can be beneficial and useful to day-to-day grid operations, interconnection timelines should be significantly reduced – in some cases to as little as 60 days.

EDF agrees that the system operator must have the ability to control such facilities through curtailment and/or dispatch and such control must be sufficient for the system operator to integrate the facility into both operations and system planning. This level of operational control will ensure the timely interconnection of large loads to the transmission system in a reliable and non-discriminatory manner.

The “conditional firm” service option as outlined in the Commission’s Order No. 890 can help expedite new load interconnections.¹⁸ In Order No. 890, conditional firm service was found useful to facilitate the provision of long-term transmission service, provide customers with greater flexibility in choosing the service that meets their needs and help expedite interconnections. Conditional firm transmission service can be especially useful to facilitate hybrid interconnections that may have less reliance on grid service because of the co-location of generation on site. These interconnection structures choosing conditional firm service (or non-firm service) should be expedited.

¹⁸ *Preventing Undue Discrimination and Preference in Transmission Service*, 118 FERC ¶ 61,119, PP 78, 911-912, Order No. 890, 72 Fed. Reg. 12,266 (Mar. 15, 2007), FERC Stats. & Regs. ¶ 31,241, *order on reh’g*, Order No. 890-A, 121 FERC ¶ 61,297 at PP 5, 552, 573 Fed. Reg. 2984 (Jan. 16, 2008), FERC Stats. & Regs. ¶ 31,261 (2007), *order on reh’g*, Order No. 890-B, 123 FERC ¶ 61,299 (2008); Order No. 890-C, 126 FERC ¶ 61,228 (2009).

Principle 8: Load and Hybrid Facilities Should be Responsible for 100% of the Network Upgrades that are Assigned Through the Interconnection Studies.

It is appropriate for large loads and hybrid facilities to pay for network upgrades required for their interconnection and transmission service based on their rights-based interconnection obligations. As noted above, hybrid facilities should be able to benefit from reduced network upgrade costs by studying co-located generation and load together. It is also appropriate for there to be a crediting mechanism considered at some point in the term of the interconnection if the load or hybrid interconnection contributes more to transmission system revenues than it causes in network upgrades costs (*i.e.*, the load or hybrid interconnection brings enough load to reduce transmission rates across the system).

Principle 9: Interconnection Customer Shall be Afforded the Same (or Equivalent) Option to Build as Currently Provided to Generator Interconnection Customers.

Load and hybrid facility interconnection customers should be afforded the same option to build interconnection facilities and network upgrades as currently provided to generator interconnection customers. In hybrid facility interconnections especially, co-located generation is in a good position to undertake the option to build on behalf of the co-located facilities to expedite the construction of eligible upgrades.

Principle 10: An Existing Generating Facility that Seeks to Enter a Partial Suspension to Serve a New Load at the Same Location Must Go Through a System Support Resource (SSR) or Reliability Must Run (RMR) Type Study.

EDF does not offer comments on this principle.

Principle 11: Utilities Serving Large Loads, Including Those at Hybrid Facilities, Should be Responsible for Transmission Service Based on Their Withdrawal Rights.

As further discussed above in response to Principle 5, full network load or point-to-point charges should not be the default transmission rate charged to all co-location structures.

Transmission charges should be assigned to hybrid facilities based on the specific grid services that the load uses. Hybrid structures that are dispatchable and/or curtailable and place minimum demands on the transmission system (*i.e.*, “grid-light”) should pay less in grid costs than co-location structures where the load requires five-nines reliability. Services provided by curtailable load should be eligible for demand response revenues. This is required by the Commission’s beneficiary pays principle.¹⁹

Flexible hybrid load that does not rely on the transmission system the same way as network connected load should only be assigned charges for grid services when it is taking power from the grid. For example, under ERCOT’s generation netting rules, generation and load behind a shared POI are netted together such that in each market settlement interval (fifteen minutes) if more power is flowing out (net generation on the grid) then it is settled as generation and no grid charges apply. If more power is flowing in during the interval (net load), then it is settled as load with applicable transmission charges. Only co-location structures with load that regularly and materially use the grid should pay network load transmission charges, consistent with the Commission’s beneficiary pays principle.

Principle 12: Utilities Serving Large Loads, Including Those at Hybrid Facilities, Should be Responsible for Ancillary Services Based on Peak Demand, Without Consideration of Any Co-Located Generation. Any Co-Located Generating Facilities Will Similarly Be Fully Compensated for the Provision of Ancillary Services.

EDF does not offer comments on this principle.

¹⁹ Under the “beneficiary pays” cost causation principle, rates must “reflect to some degree the costs actually caused by the customer who must pay for them.” *Midwest ISO Transmission Owners v. FERC*, 373 F.3d 1361, 1368 (D.C. Cir. 2004). Costs must be allocated in a manner that is at least roughly commensurate with the benefits an entity receives. *Ill. Com. Comm’n v. FERC*, 576 F.3d 470, 474-78 (7th Cir. 2009) (remanding Commission order for further proceedings in light of Commission’s failure to provide substantial evidence supporting Commission’s approval of cost allocation method as complying with “beneficiary pays” principle).

Principle 13: There Must Be a Plan to Implement These Proposed Reforms.

Given the national urgency around data center demand, EDF supports a Commission schedule consistent with the DOE Secretary's request for final action by April 30, 2026. Market regions should implement a framework that includes Open Access Transmission Tariff (OATT) filings with large load interconnection procedures and form agreements that borrow heavily from their FERC-approved generator interconnection procedures and agreements. The compliance period for those OATT revisions should reflect the urgency of the situation.

Principle 14: Utilities Serving Large Loads Must Meet All Applicable NERC Reliability Standards and OATT Provisions.

EDF does not offer comments on this principle.

III. CONCLUSION

For the foregoing reasons, EDFR requests that the Commission proceed expeditiously to develop flexible, rights-based interconnection rules and standard agreements to ensure the reliable and speedy interconnection of new large loads.

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